



**MACHAKOS COUNTY GOVERNMENT  
DEPARTMENT OF REVENUE MANAGEMENT**

**REVENUE MOBILIZATION STRATEGY  
(2025–2030)**

“A county committed to financial independence and transparency, delivering high-quality services through efficient and sustainable revenue strategies.”

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*This document provides a strategic framework to strengthen the County's Own Source Revenue (OSR) through institutional reforms, automation, and stakeholder engagement, ensuring sustainable OSR collection for inclusive development.*

## Foreword

Sound public financial management remains the foundation of effective governance and sustainable development. The ability of a County to deliver quality services, invest in infrastructure, and promote inclusive growth is directly linked to how efficiently it mobilizes, manages, and utilizes its financial resources. Strengthening revenue mobilization is therefore both a fiscal and moral responsibility one that ensures equitable access to essential services and reinforces social cohesion among citizens.

The Revenue Mobilization Strategy (2025–2030) reaffirms the County’s commitment to establishing transparent, efficient, and accountable public finance systems. By adopting a structured approach that emphasizes institutional strengthening, innovation, and fairness in revenue management; the County aims to build a stable and predictable revenue environment capable of supporting long-term socio-economic transformation.

This strategy builds upon ongoing fiscal reforms and aligns with key policy frameworks, including the Public Finance Management (PFM) Act (2012) and the County Integrated Development Plan (CIDP 2023–2027). It recognizes that sustainable revenue growth is anchored in strong governance, modernized systems, and active citizen participation. Through enhanced automation, data-driven decision-making, and continuous improvement in service delivery, the County seeks to cultivate a culture of integrity, efficiency, and accountability in revenue management.

By implementing this strategy, the County will progressively increase its Own Source Revenue (OSR) towards the realization of the County potential. The additional resources generated will enable timely execution of development programs, better infrastructure, and improved delivery of social services. This, in turn, will strengthen fiscal autonomy and empower the County to invest strategically in areas that directly respond to the needs and priorities of its people.

Ultimately, the Revenue Mobilization Strategy (2025–2030) represents a pivotal step toward fiscal sustainability and economic resilience. It is a collective call to action inviting collaboration among County revenue facing departments, development partners, private sector actors, and citizens to ensure that every shilling collected contributes effectively to improving livelihoods and building a prosperous, self-reliant future for all residents of the Machakos County.



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## **Acknowledgement**

The preparation of this Revenue Mobilization Strategy (2025–2030) was made possible through the collaborative effort and commitment of a wide range of contributors whose expertise, insights, and dedication were instrumental in shaping the final document. The process brought together technical officers, policymakers, practitioners, and stakeholders from diverse sectors, all united by a shared vision of strengthening Machakos County’s fiscal capacity and promoting sustainable development.

The Department of Revenue Management extends its sincere appreciation to all officers from the various departments and sub-county revenue teams for their invaluable input throughout the formulation process. Their practical experiences and technical knowledge of revenue administration, financial management, and local economic dynamics enriched the content and relevance of this strategy.

Special gratitude goes to the Technical Working Group (TWG) which comprised Mr. Mohammed Hajji Ibrahim, CPA Ezekiel Kamuyu and CPA Antony Mutunga who embraced and worked with me in compilation, analysis, and writing this document. The group’s dedication to data collection, review of policy frameworks, and formulation of practical recommendations formed the foundation upon which this strategy stands. Their tireless effort and analytical rigor ensured that the strategy is evidence-based, forward-looking, and responsive to the evolving fiscal realities of the County.

Finally, appreciation is extended to the leadership of the County Government of Machakos under the leadership of H.E. Governor Wavinya Ndeti, EGH for providing the strategic direction, institutional support, and enabling environment that made the preparation of this document possible. It is our hope that the collaborative spirit demonstrated in the development of this strategy will continue to guide its implementation, ensuring that Machakos County achieves its revenue mobilization objectives and delivers enhanced services to its residents.

  
**CPA, CS. William Otieno**  
**Chief Officer- Revenue Management**



## Abbreviations and Acronyms

| Acronyms | Meaning                                           |
|----------|---------------------------------------------------|
| ADP      | Annual Development Plan                           |
| CECM     | County Executive Committee Member                 |
| CFSP     | County Fiscal Strategy Paper                      |
| CGA      | County Government Act                             |
| CIDP     | County Integrated Development Plan                |
| CO       | Chief Officer                                     |
| CRA      | Commission on Revenue Allocation                  |
| FY       | Financial Year                                    |
| GIS      | Geographical Information System                   |
| ICRMS    | Integrated County Revenue Management System       |
| ICT      | Information and Communication Technology          |
| KRA      | Kenya Revenue Authority                           |
| M&E      | Monitoring and Evaluation                         |
| MELR     | Monitoring, Evaluation, Learning & Reporting      |
| MTEF     | Medium Term Expenditure Framework                 |
| OSR      | Own Source Revenue                                |
| PFM      | Public Finance Management                         |
| PPP      | Public-Private Partnership                        |
| REAP     | Revenue Enhancement Mobilization Strategy         |
| SOPs     | Standard Operating Procedures                     |
| SWOT     | Strengths, Weaknesses, Opportunities, and Threats |
| TWG      | Technical Working Group                           |



## **Executive Summary**

The Machakos County Revenue Mobilization Strategy (2025–2030) provides a comprehensive roadmap for strengthening the County's fiscal sustainability through enhanced Own Source Revenue (OSR) performance, efficient revenue administration, and transparent financial management. The strategy seeks to ensure that Machakos County achieves fiscal autonomy and self-reliance in financing its development priorities while fostering accountability and citizen trust in the devolved system of governance.

## **Background and Context**

County governments in Kenya have the constitutional mandate under Article 209 and the Fourth Schedule of the Constitution (2010) to generate, collect, and manage local revenues to finance devolved functions. This responsibility includes mobilizing Own Source Revenue (OSR) and managing funds from national transfers and development partners.

Despite a vibrant and diversified economy, Machakos County's revenue performance has historically lagged behind its potential. Key challenges have included limited automation, weak enforcement mechanisms, inadequate data management, and low compliance among taxpayers/citizens. These challenges have constrained the County's ability to fully finance its service delivery and development agenda.

The strategy, therefore, provides a structured framework to address these systemic weaknesses through comprehensive fiscal reforms, modernization of revenue systems, and institutional strengthening. It emphasizes transparency, accountability, and innovation as core pillars for improving revenue performance and supporting sustainable service delivery.

## **Strategic Vision, Mission and Objectives**

### **Vision:**

*A county committed to financial independence and transparency, delivering high-quality services through efficient and sustainable revenue strategies.*

### **Mission:**

*To ensure the efficient, equitable, and transparent mobilization, management, and accounting of county revenues, thereby supporting inclusive socio-economic development.*

The overall goal of the strategy is to enhance Machakos County's capacity to sustainably mobilize and manage revenues for improved service delivery and development. The specific objectives include:

- a) Modernizing and automating revenue collection systems.
- b) Expanding and diversifying the revenue base.
- c) Strengthening enforcement and compliance mechanisms.
- d) Enhancing institutional capacity and human resource competence.
- e) Improving citizen engagement and fiscal transparency.



- f) Ensuring prudent financial management and accountability
- g) Aligning revenue mobilization with economic growth and private sector competitiveness

### **Strategic Pillars of Implementation**

The strategy is anchored on six interrelated pillars; each designed to address specific revenue challenges and unlock fiscal potential:

- a) **Revenue System Modernization and Automation** -Establishing an Integrated County Revenue Management System (ICRMS) to automate all revenue streams, promote cashless transactions, and enhance data transparency.
- b) **Revenue Diversification and Expansion of the Tax Base**—Expanding the revenue base through new sources such as tourism levies, advertising fees, and public-private partnerships.
- c) **Compliance, Enforcement, and Good Governance**- Strengthening legal frameworks and compliance mechanisms ensures fairness, integrity, and accountability in the revenue process.
- d) **Institutional Capacity, Human Resource Development, and Accountability**- Effective implementation of revenue reforms depends on competent personnel, strong institutional frameworks, and clear accountability mechanisms.
- e) **Citizen Engagement, Communication, and Stakeholder Partnership**- Sustainable revenue mobilization depends on citizen trust, participation, and understanding of the importance of paying county dues.
- f) **Prudent Financial Management and Accountability**- Sound financial management forms the foundation of effective revenue administration. For Machakos County to achieve fiscal sustainability and public confidence, it must ensure that every shilling collected is properly accounted for and used to deliver tangible public value.
- g) **Revenue Mobilization Aligned with Economic Growth and Private Sector Competitiveness**- Revenue generation must complement—not constrain—economic activity. A business-friendly and growth-oriented fiscal policy ensures that revenue mobilization supports private sector development, job creation, and long-term county prosperity.

Collectively, these pillars aim to create a transparent, efficient, and inclusive revenue system that maximizes the County's fiscal potential while promoting accountability and fairness.

### **Implementation and Coordination Framework**

Implementation will be led by the Department of Revenue Management, under the overall policy oversight of the County Executive Committee (CEC) Member for Finance, Economic Planning, Revenue Management, and ICT. Coordination will involve collaboration with revenue facing departments, sub-county offices, ICT and legal departments, development partners, and the private sector.

The implementation period spans 2025–2030, structured in three key phases:



- Phase I (2025–2026): Institutional foundation and digital integration.
- Phase II (2026–2028): Expansion, enforcement, and valuation reforms.
- Phase III (2028–2030): Consolidation, sustainability, and performance institutionalization.

Each phase will be accompanied by annual work plans, measurable targets, and performance reviews aligned with the County Fiscal Strategy Papers (CFSPs) and County Integrated Development Plan (CIDP 2023–2027).

### **Monitoring, Evaluation, Learning, and Reporting (MELR) Framework**

A robust MELR system has been established to ensure continuous tracking of progress, learning, and adaptive management. This framework will:

- Monitor revenue collection efficiency and compliance.
- Evaluate progress through baseline, mid-term, and end-term assessments.
- Institutionalize data-driven decision-making and performance reporting.
- Promote transparency through quarterly and annual public reports.

By 2030, the MELR framework aims to institutionalize a culture of accountability, learning, and evidence-based decision-making across all revenue functions.

### **Policy Recommendations**

To ensure sustainability and successful implementation, the strategy recommends:

- Legal Reforms: Review and harmonize all county revenue laws for consistency and enforceability.
- Automation: Fully integrate digital revenue systems and safeguard data integrity.
- Capacity Building: Invest in continuous staff training and establish performance-based incentive systems.
- Stakeholder Collaboration: Foster partnerships with national agencies, private sector, and civil society for technical and financial support.
- Transparency and Trust: Regularly publish revenue data and hold citizen accountability forums to build public confidence.
- Political Commitment: Ensure continuous support from County leadership and adequate funding for implementation.

### **Expected Outcomes by 2030**

The successful implementation of this strategy will lead to:

- Increased and more predictable OSR collection.
- Reduced revenue leakages and improved compliance.
- Enhanced fiscal autonomy.
- Strengthened institutional capacity and staff competence.
- Improved citizen trust through transparent and accountable governance.



## **Conclusion**

The Machakos County Revenue Mobilization Strategy (2025–2030) represents a transformative step toward fiscal independence and sustainable development. Through deliberate reforms, innovation, and collaboration, the County aims to build a modern, transparent, and efficient revenue system that supports equitable service delivery and economic growth. The collective commitment of leadership, staff, and citizens will be central to realizing the vision of a financially empowered and self-reliant Machakos County.





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## **CHAPTER ONE**

### **Background and Context**

#### **1.1 Introduction**

County governments in Kenya have a constitutional mandate under the Fourth Schedule and Article 209 of the Constitution of Kenya (2010) to generate, collect, and manage revenues in order to finance devolved functions and deliver services efficiently to their citizens. This responsibility encompasses both the mobilization of Own Source Revenue (OSR) and the prudent management of funds received through equitable share and conditional grants from the national government and development partners.

The ability of a county government to mobilize adequate, predictable, and sustainable resources directly determines its capacity to deliver essential services, maintain and expand infrastructure, and stimulate inclusive social and economic growth. Robust revenue mobilization enables counties to invest in critical sectors such as health, education, agriculture, water, roads, and urban development, thereby improving livelihoods and reducing regional disparities.

Moreover, effective revenue management fosters fiscal autonomy, enhances accountability, and strengthens public trust in devolved governance. It increases fiscal space, allowing counties to plan and implement locally driven development priorities that respond to the unique needs of their citizens.

However, the realization of this mandate is often constrained by challenges such as low compliance rates, weak enforcement mechanisms, limited automation, and inadequate administrative capacity. Addressing these gaps through a well-designed revenue mobilization strategy is therefore essential to building a self-sustaining and resilient county economy capable of delivering on the promise of devolution.

This strategy provides a comprehensive roadmap for enhancing the County's Own Source Revenue (OSR) by implementing structured fiscal reforms, modernizing revenue administration systems, and strengthening collaboration with key stakeholders. It seeks to build a transparent, efficient, and equitable revenue mobilization framework that not only maximizes revenue potential but also ensures that revenue collection is fair, predictable, and sustainable over the long term.

The strategy outlines a series of targeted interventions focused on automation and digitization of revenue systems, expansion of the revenue base through diversification, improvement of compliance and enforcement mechanisms, and capacity development for revenue administration staff. It also emphasizes the importance of stakeholder engagement, recognizing that the success of revenue reforms depends on the active participation of citizens, businesses, and institutional partners.

Furthermore, the strategy is fully aligned with national and county policy frameworks, including the Kenya Vision 2030, the Medium-Term Plan IV (2023–2027), and the Public Finance

Management (PFM) Act, 2012, which provides the legal foundation for prudent financial management at both levels of government. It also aligns with the County Integrated Development Plan (CIDP 2023–2027), which serves as the overarching framework for county planning, budgeting, and resource allocation.

By integrating national priorities with county-specific fiscal objectives, this strategy ensures coherence between policy, planning, and financing. It promotes a culture of fiscal discipline, accountability, and innovation in revenue management, positioning the County to progressively enhance its OSR capacity and achieve greater fiscal self-reliance in financing devolved functions and development initiatives.

## **1.2 Economic Overview**

Machakos County possesses a diversified and vibrant economy, characterized by strong potential across key sectors such as agriculture, trade and commerce, real estate development, manufacturing, transport, and emerging service industries. The County's strategic location within the Nairobi Metropolitan region, its expanding urban centers, and its improving infrastructure position it as a critical growth hub in Kenya's devolved economic landscape. Agriculture remains a cornerstone of livelihoods, with potential for agro-processing, value addition, and commercialization. The manufacturing and construction sectors continue to expand, driven by industrial growth, rising housing demand, and infrastructural investments. Meanwhile, the trade and transport sectors benefit from Machakos's proximity to major transport corridors, offering opportunities for logistics, warehousing, and cross-county commerce.

Despite this strong economic base, the County's revenue performance has not fully reflected its economic potential. Own Source Revenue (OSR) growth has remained modest, constrained by structural and administrative inefficiencies. Key challenges include weak enforcement of revenue laws, limited automation of revenue collection systems, inadequate property valuation and asset mapping, and inefficient coordination among revenue facing departments. Additionally, gaps in taxpayer education, data management, and compliance monitoring have limited the County's ability to optimize existing revenue streams and tap into new ones.

To address these challenges, the County seeks to strengthen fiscal resilience and enhance financial sustainability through a combination of strategic reforms and institutional capacity development. The focus will be on efficient resource mobilization, broadening the revenue base, and ensuring equity in taxation to promote fairness and inclusivity. Emphasis will also be placed on improving transparency and accountability in the utilization of public funds, fostering public trust and confidence in county revenue systems.

By aligning revenue mobilization efforts with broader economic development priorities and governance reforms, Machakos County aims to create a robust fiscal environment that supports sustained service delivery, infrastructure investment, and inclusive economic growth across all sub-counties.



### 1.3 Rationale for the Strategy

This Revenue Mobilization Strategy was developed to:

- Provide a structured framework for enhancing OSR performance.
- Strengthen the link between policy, planning, and budgeting.
- Ensure equity, efficiency, and transparency in revenue collection.
- Address systemic weaknesses in revenue administration.
- Align county revenue goals with the CIDP and Medium-Term Expenditure Framework (MTEF).

### 1.4 Linkage with County and National Plans

The strategy is designed to complement and reinforce the County's overarching planning and budgeting instruments, particularly the County Integrated Development Plan (CIDP 2023–2027), the Annual Development Plans (ADPs), and the County Fiscal Strategy Papers (CFSPs). Together, these frameworks form the foundation of county planning, implementation, and fiscal management. By aligning with them, the Revenue Mobilization Strategy ensures that revenue enhancement initiatives are fully integrated within the County's broader socio-economic development agenda.

Specifically, the CIDP 2023–2027 outlines the County's long-term development priorities and investment focus areas, while the ADPs translate these priorities into annual operational programs. The CFSPs, on the other hand, provide the fiscal policy direction and resource allocation framework that guide budgeting and implementation. This strategy therefore supports the realization of the CIDP's objectives by ensuring that sufficient and predictable revenue is generated to finance identified development projects and service delivery commitments.

At the national level, the strategy is aligned with key policy and planning frameworks, including Kenya Vision 2030, which envisions a globally competitive and prosperous nation through sustained economic transformation, and the National Development Plan, which operationalizes Vision 2030 through medium-term priorities and investment targets.

Through this alignment, the Revenue Mobilization Strategy ensures policy coherence and synergy between county and national planning instruments. It positions Machakos County as a proactive player in achieving both devolved and national development goals by fostering fiscal discipline, enhancing revenue sustainability, and promoting inclusive, locally driven growth.



## CHAPTER TWO

### LEGAL AND POLICY FRAMEWORK

#### 2.1 Constitutional Basis

The Constitution of Kenya (2010) provides the supreme legal foundation for public finance and resource mobilization at both the national and county levels. It establishes the principles of devolution, enabling counties to generate, manage, and utilize their own resources to meet local development needs. Under **Article 209 (3)**, county governments are specifically empowered to impose:

- Property rates,
- Entertainment taxes, and
- Charges for services rendered within their jurisdictions.

This authority ensures that counties can sustainably finance local governance and service delivery, reducing overreliance on equitable share allocations from the national government. In addition, Article 6 (2) reinforces the principle of distinct but interdependent government levels, mandating cooperation between the national and county governments in resource management. Article 174 (f) emphasizes that devolution should promote social and economic development and bring services closer to the people, while Article 175 (b) calls for county governments to have reliable sources of revenue to enable them to govern and deliver services effectively.

Article 201 of the Constitution further outlines the principles of public finance, including:

- Openness and accountability,
- Public participation in financial matters,
- Equity in the sharing of burdens and benefits of resource use,
- Prudence and responsibility in financial management, and
- Promotion of an equitable society.

These constitutional provisions together create a strong legal foundation for Machakos County to design and implement effective revenue policies that are transparent, equitable, and sustainable.

#### 2.2 National Legislation

To operationalize the fiscal powers granted by the Constitution, several **national legislations** guide how counties mobilize, manage, and report their revenues. The Machakos County Revenue Mobilization Strategy is aligned with these national laws and frameworks:

##### a) Public Finance Management (PFM) Act, 2012

This Act establishes a comprehensive legal framework for managing public resources at both national and county levels. It provides guidelines for revenue collection, accounting, budgeting, and expenditure control to ensure fiscal discipline. The Act requires counties to adopt transparent and accountable financial systems, implement integrated financial management systems, and report regularly on financial performance. It also mandates the creation of County Revenue Funds



(CRF) into which all collected revenues are deposited, promoting proper management of public resources.

**b) County Governments Act, 2012**

The Act outlines the structures, functions, and operations of county governments. It empowers counties to promote good governance, effective service delivery, and citizen participation in decision-making, including fiscal matters. It also mandates the preparation of county plans such as the County Integrated Development Plan (CIDP) and annual development plans, which must be aligned with resource mobilization and budgeting priorities.

**c) Urban Areas and Cities Act, 2011**

This Act governs the management of municipalities and towns. It provides for the establishment of local boards responsible for overseeing urban management, including the collection of fees, rates, and other service charges. The Act promotes financial sustainability of urban areas through efficient revenue administration and sound financial practices.

**d) Rating Act (Cap 267)**

The Rating Act governs the valuation of land and property for purposes of levying rates. It provides mechanisms for property assessment, valuation rolls, and rate imposition. Counties rely on this Act to ensure that property taxation is equitable, transparent, and legally enforceable.

**e) Traffic Act and Trade Licensing Act**

These Acts provide the legal foundation for the imposition of parking fees, trade permits, vehicle licenses, and business operation charges within county jurisdictions. They also empower counties to regulate trade and transport services in ways that generate revenue while ensuring public safety and order.

**f) Commission on Revenue Allocation (CRA) Revenue Enhancement and Mobilization Framework (REAP)**

The CRA REAP Framework provides practical guidance for counties on optimizing Own Source Revenue (OSR). It promotes fiscal sustainability through data-driven revenue forecasting, technology-driven collection systems, and improved taxpayer services. The framework also advocates for harmonized revenue laws across counties to minimize duplication and enhance efficiency. Together, these legal instruments establish a strong foundation for fiscal management, ensuring that counties mobilize resources within the law while promoting accountability, efficiency, and fairness.



## 2.3 County Legislation

Within Machakos County, several specific laws and policy instruments guide the administration of local revenues. These county-level frameworks complement national laws and address the county's unique fiscal realities and opportunities. They include:

- **Machakos County Finance Acts (reviewed annually):**  
Passed each financial year, these Acts authorize the collection of specific taxes, fees, and charges. They define revenue sources, applicable rates, and administrative procedures, ensuring legal certainty and predictability in revenue operations.
- **Machakos County Revenue Administration Act, 2015:**  
This Act provides the overarching framework for managing county revenues. It establishes systems for assessment, billing, collection, and enforcement, and prescribes penalties for non-compliance. The Act also institutionalizes transparency through mandatory reporting and auditing mechanisms.
- **Machakos County Rating Act, 2014:**  
Regulates property valuation and rate collection processes. It provides for equitable assessment of property values and ensures fairness in land-based taxation, which forms a major source of county revenue.
- **Machakos County Trade Licensing Act, 2014:**  
Sets out licensing procedures for businesses and traders operating within the county. The Act aims to improve compliance and streamline the issuance of business permits, thereby expanding the county's revenue base.
- **Machakos County Liquor Licensing Act, 2014:**  
Provides for regulation, control, and licensing of alcoholic beverages. The Act ensures that liquor trade contributes fairly to revenue generation while safeguarding public health and order.
- **Machakos County Inspectorate Service Bill, 2023**  
Enhances compliance enforcement by strengthening the inspectorate function. The Bill empowers officers to monitor, inspect, and enforce county laws, thereby minimizing revenue leakages and promoting fiscal discipline.
- **Machakos County Integrated Development Plan (CIDP) 2023–2027:**  
Serves as the county's key development blueprint, aligning all fiscal and development strategies. The CIDP provides a framework for linking revenue mobilization to socio-economic priorities such as infrastructure, health, and urban development.



Together, these instruments ensure that revenue collection and management in Machakos County are lawful, transparent, and responsive to local socio-economic realities.

## **2.4 Policy Alignment**

The Machakos County Revenue Mobilization Strategy aligns with Kenya's broader national policy and development agenda to ensure coherence, sustainability, and shared prosperity. This alignment ensures that county-level initiatives support national goals of fiscal responsibility and economic growth. Key policy linkages include:

### **a) Kenya Vision 2030**

As the national long-term development blueprint, Vision 2030 seeks to transform Kenya into a globally competitive and prosperous nation. Under its Economic Pillar, it emphasizes financial inclusion, infrastructural development, and innovation: objectives that depend on efficient domestic resource mobilization at both levels of government.

### **b) Medium-Term Plan IV (2023–2027)**

This plan operationalizes Vision 2030 by setting short- to medium-term priorities. It highlights local economic development, public-private partnerships, and improved service delivery in areas that Machakos County can advance through enhanced Own Source Revenue.

### **c) Public Finance Management (PFM) Reforms Strategy**

This strategy reinforces fiscal discipline, efficiency, and transparency across all public institutions. It encourages counties to adopt modern financial management systems, enhance accountability, and strengthen the link between revenue and service delivery.

### **d) National Tax Policy (2023)**

The policy provides a unified approach to tax administration across the country. It promotes fairness, simplicity, efficiency, and transparency, guiding counties in designing and implementing predictable and equitable revenue systems.

### **e) Sustainable Development Goals (SDGs)**

Particularly Goal 16 (Peace, Justice and Strong Institutions) and Goal 17 (Partnerships for the Goals) emphasize effective resource mobilization and institutional strengthening. Machakos County's revenue strategy aligns with these goals by promoting accountable governance and enhancing domestic fiscal capacity.



**f) Africa Agenda 2063 and the County's CIDP (2023–2027)**

Both frameworks emphasize inclusive growth, industrialization, and sustainable financing for development. Aligning the county strategy with these instruments ensures synergy between local, national, and continental aspirations.



## CHAPTER THREE

### 3. Situational Analysis

#### 3.1 Overview of County Revenue Performance

Own Source Revenue (OSR) has shown moderate growth over the past years but remains below potential. Main revenue sources include:

- Land rates and ground rent
- Single business permits
- Market fees and cess
- Off-street Parking and bus park
- Building plan approvals
- Quarries extraction fees and sand gravel
- Sign board and advertisement
- Health revenue



Between FY 2013/14 and FY 2021/22, Machakos County's Own Source Revenue (OSR) collections remained relatively steady, averaging between Ksh 1.06 billion and Ksh 1.56 billion annually. Over this period, revenue performance showed moderate fluctuations, with notable declines in FY 2017/18 and FY 2021/22. These downturns were largely linked to weak enforcement, excessive dependence on manual collection systems, low compliance rates, and the adverse economic effects of external shocks such as the COVID-19 pandemic. Outdated valuation rolls and limited automation further hindered the County's capacity to identify and capture new revenue sources.

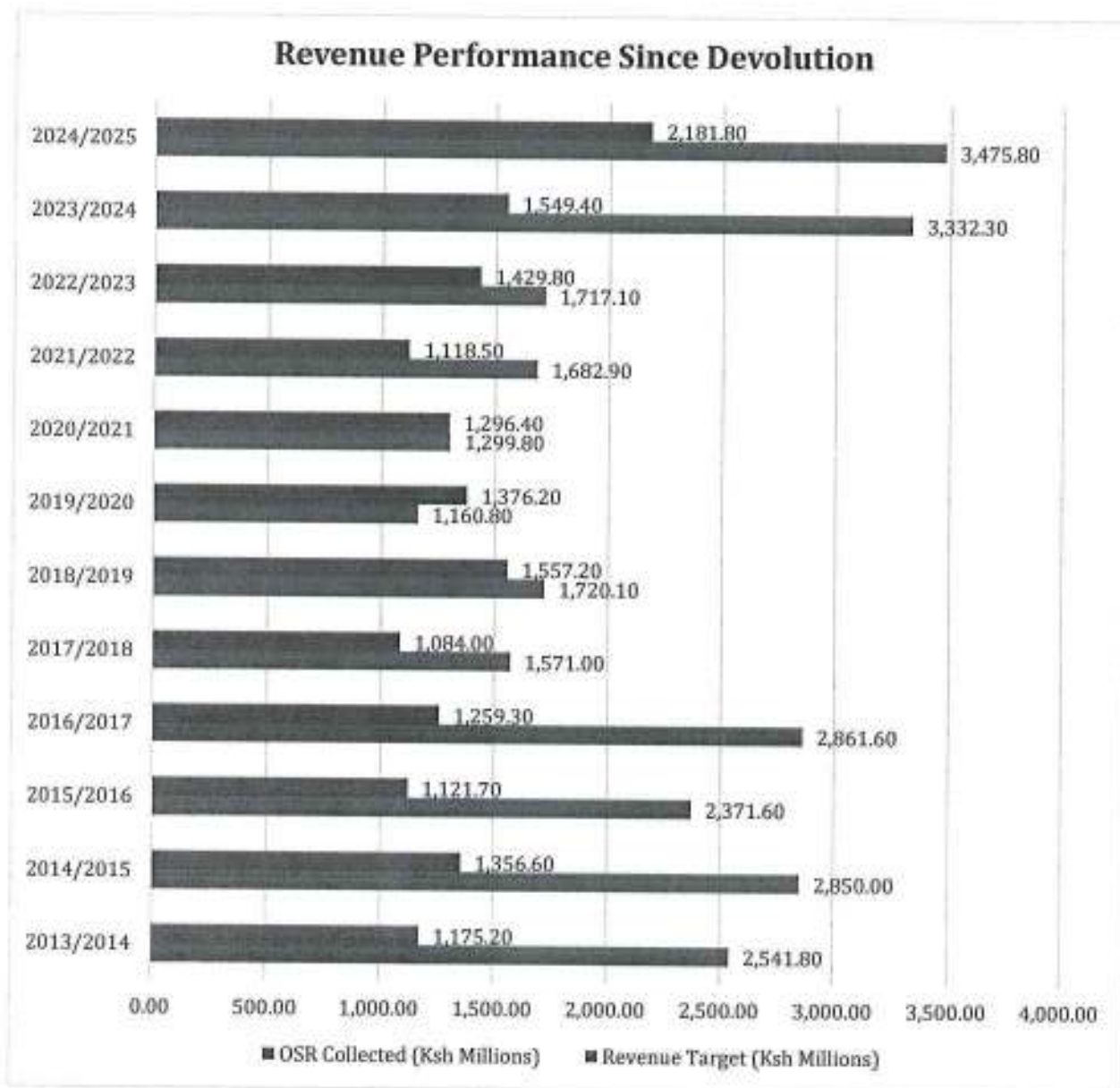
Despite these challenges, Machakos County managed to sustain a stable revenue base throughout the first decade of devolution, demonstrating a degree of institutional resilience in its collection processes. However, the County's inability to consistently exceed the Ksh 1.6 billion threshold revealed a performance plateau, emphasizing the need for deeper structural and technological reforms to fully realize its revenue potential.

From FY 2022/23, a distinct upward trend emerges. OSR collections rose from Ksh 1.43 billion in FY 2022/23 to Ksh 1.55 billion in FY 2023/24, before climbing sharply to approximately Ksh 2.18 billion in FY 2024/25 the highest level recorded since devolution began. This notable increase marks a significant turnaround in the County's revenue trajectory, reflecting the tangible results of recent fiscal and institutional reforms. The strong growth in FY 2024/25 can be attributed to several interrelated factors. The automation and digitization of revenue systems minimized leakages, improved transparency, and enabled real-time monitoring across all wards and sub-counties. The review and rationalization of fees and charges, including updates to property valuation rolls and business permits, expanded the revenue base and enhanced taxpayer/citizen compliance. Furthermore, enhanced enforcement mechanisms, supported by stronger legal frameworks and public awareness campaigns, fostered a culture of voluntary compliance.

Collaboration between the Department of Revenue Management and the revenue facing departments has also played a crucial role, particularly in optimizing collections from markets, parking, health services, and building approvals; sectors that previously suffered from underperformance. The County's adoption of cashless payment systems further improved accountability, accuracy, and efficiency in revenue management.

Overall, the observed trend signals a shift from stagnation to sustained growth. The FY 2024/25 performance is not a one-off event but rather evidence of strengthened fiscal institutions and modernization of financial management systems. Maintaining this upward momentum will depend on continuous investment in technology, capacity development, and policy reforms, which will consolidate these gains and position Machakos County as a leader in OSR mobilization among devolved governments in Kenya.





**Source: Machakos County Revenue Department**

Challenges such as limited automation, weak enforcement, low compliance, and inadequate application of valuation rolls have constrained performance.

### 3.2 Revenue Administration Structure

The County's revenue collection is coordinated under the Department of Revenue Management, supported by revenue facing departments, sub-county and ward-level officers. The current structure is functional but requires strengthening in terms of staffing, training, and system integration.



### 3.3 Key Challenges

- Limited public awareness and revenue compliance.
- Weak enforcement and revenue leakages.
- Inadequate data management and reporting.
- Disintegrated revenue data on gender
- Capacity gap among revenue staff.
- Revenue collection seasonality
- Lack of revenue forecasting model
- Fragmentation of revenue streams and inadequate revenue mapping
- Inadequate revenue legislative documents.



### 3.4 Emerging Opportunities

- County-wide digital transformation initiatives.
- Public-private partnerships for revenue collection.
- Valuation rolls updates and GIS mapping.
- Mapping of new revenue streams in growing sectors (logistics, real estate, tourism).
- Partnerships with development agencies for automation support.

### 3.5 SWOT Analysis

| Strengths                                    | Weaknesses                                               |
|----------------------------------------------|----------------------------------------------------------|
| Legal authority to collect local revenues    | Weak enforcement and compliance mechanisms               |
| Supportive leadership and reform agenda      | Limited automation and inadequate data management        |
| Diverse economic base                        | Inadequate staff motivation and capacity                 |
| Presence of skilled manpower                 | Lack of disintegrated data based on gender and age       |
|                                              |                                                          |
| Opportunities                                | Threats                                                  |
| Digital systems and mobile money integration | Resistance to change among citizens and staff            |
| Growth in urban centers and investments      | Political interference in revenue administration         |
| Support from national agencies and partners  | Legal challenges and disputes on some of revenue streams |
| Expanding tax base through innovation        | Economic shocks and external policy shifts               |

### 3.6 PESTLE Analysis

| Factor        | Key Issues                                                                                                               |
|---------------|--------------------------------------------------------------------------------------------------------------------------|
| Political     | Devolution framework supports Own Source Revenue collection. Therefore, political goodwill is essential for enforcement. |
| Economic      | Growth in key sectors increases potential revenue; inflation and business cycles affect yield.                           |
| Social        | Citizens' attitudes, compliance culture and public trust impact revenue.                                                 |
| Technological | Automation opportunities through digital platforms and mobile payment systems.                                           |
| Legal         | Need for updated legal instruments to support modern revenue systems.                                                    |
| Environmental | Resource-based revenues (e.g., sand harvesting, quarries etc.) require sustainability considerations.                    |



## CHAPTER FOUR

### VISION, MISSION AND GUIDING PRINCIPLES

#### 4.1 Vision

*A county committed to financial independence and transparency, delivering high-quality services through efficient and sustainable revenue strategies.*

This vision expresses the County Government's ambition to attain fiscal self-reliance by steadily reducing dependence on external funding and grants. The County aims to strengthen its own-source revenues through diversified, transparent, and well-managed systems built on integrity and innovation. It envisions a future where revenue collection processes are modernized, citizen-oriented, and resilient enough to withstand economic fluctuations. Transparency will be at the heart of all operations to guarantee that revenue generation is traceable, lawful, and results-driven. Ultimately, the vision aspires to build lasting public trust by demonstrating that collected revenues directly translate into improved service delivery and enhanced living standards for all residents.

#### 4.2 Mission

*To ensure the efficient, equitable, and transparent mobilization, management, and accounting of county revenues, thereby supporting inclusive socio-economic development.*

This mission underscores the County's commitment to sound financial governance and effective resource utilization. It aims to strengthen institutional frameworks that support seamless revenue collection and management through technology-driven systems and skilled human capital. Efficiency will be achieved through automation, process simplification, and enhanced monitoring. Equity will ensure fairness in tax obligations while protecting vulnerable groups. Transparency and accountability will be reinforced through regular financial reporting, citizen participation, and consistent audits. The mission aligns with the County's wider objective of inclusive development ensuring that the benefits of revenue utilization reach every community and foster shared prosperity.

#### 4.3 Core Values

The execution of this strategy is underpinned by a set of guiding values that define institutional conduct, promote organizational excellence, and ensure alignment with the County's development priorities.

##### a) Accountability

The County is committed to maintaining integrity and openness in the management of all revenues. Every officer entrusted with revenue-related responsibilities will be answerable for their actions, ensuring that resources collected are used responsibly and in the public interest.



**b) Equity**

Revenue systems will be implemented in a just and impartial manner. The County will guarantee that all taxpayers are treated equally while considering the needs of disadvantaged and marginalized groups, ensuring that fiscal obligations are fair and proportionate.

**c) Professionalism**

Revenue officers will uphold high standards of ethics, competence, and diligence. Continuous training and capacity-building initiatives will be promoted to enhance efficiency, ensure adherence to ethical codes, and encourage responsible service delivery.

**d) Innovation**

The County acknowledges that technology is key to transforming revenue administration. It will adopt creative solutions such as digital payment platforms, data analytics, and GIS-based mapping to streamline operations, improve accuracy, and reduce leakages.

**e) Citizen Focus**

The County will strengthen engagement with residents by enhancing taxpayer education, feedback mechanisms, and participatory forums. This approach aims to foster voluntary compliance, improve satisfaction, and nurture trust between citizens and government institutions.

**f) Teamwork**

Revenue mobilization requires collaboration across all departments and partners. The County will cultivate teamwork, mutual respect, and cooperation among staff, departments, the private sector, and development partners to achieve common fiscal goals.

**4.4 Guiding Principles**

The County Revenue Strategy is anchored on a set of foundational principles that define its fiscal management philosophy and operational direction.

- **Equity and Fairness:** Revenue policies, rates, and laws will be guided by fairness and the principle of ability to pay. Taxpayers in similar economic conditions will be treated equitably, ensuring that no group bears an undue financial burden. The County will also remain sensitive to prevailing business and household conditions to maintain a balanced and just system.

- **Efficiency and Effectiveness:** Revenue collection processes will aim to reduce administrative costs and enhance returns. Through automation, clear procedures, and capacity development, the County will maximize productivity while ensuring prudent use of available resources.



- **Accountability and Transparency:** All revenue operations will be open and verifiable. The County will leverage automated systems for real-time monitoring, documentation, and audit trails, ensuring that every transaction is transparent. Regular publication of revenue performance reports will further enhance public trust and fiscal credibility.
- **Participation:** The County recognizes that an inclusive revenue framework requires active stakeholder involvement. Consultations with citizens, business communities, and civil society will inform the formulation, review, and implementation of fiscal policies. This participatory approach fosters ownership and compliance.
- **Sustainability:** The County will adopt long-term revenue strategies that balance economic growth, environmental protection, and social inclusion. Emphasis will be placed on supporting green initiatives, responsible resource use, and policies that promote intergenerational equity.
- **Legal Compliance:** All revenue-related reforms, systems, and enforcement procedures will conform to the Constitution of Kenya, the Public Finance Management Act, the County Governments Act, and other applicable legislation. Adherence to the law will strengthen institutional legitimacy and ensure alignment with national fiscal frameworks.



## **CHAPTER FIVE**

### **STRATEGIC GOALS AND OBJECTIVES**

#### **5.1 Overall Goal**

*To strengthen Machakos County's ability to sustainably mobilize, manage, and account for revenues in order to accelerate service delivery, promote inclusive growth, and achieve long-term fiscal sustainability.*

This goal underscores the County's determination to develop a self-sustaining revenue system that supports responsive governance and improved quality of life. It reflects the County's ambition to progressively reduce dependence on external funding through the establishment of reliable, diversified, and transparent local revenue streams. A strong fiscal foundation will enable the County to deliver quality services, invest in infrastructure, and stimulate socio-economic transformation. Ultimately, the goal is to create a revenue management framework that guarantees financial independence, efficiency, and accountability in the use of public resources.

#### **5.2 Strategic Objectives**

To realize this goal, Machakos County will pursue the following strategic objectives aimed at enhancing revenue generation, strengthening institutional capacity, and promoting transparency and citizen confidence in fiscal management.

##### **a) Modernize and automate revenue collection systems for efficiency, effectiveness, and transparency**

The County will continue to digitize its revenue processes to improve operational efficiency and reduce revenue leakages. This will include upgrading information systems, adopt electronic payment platforms, and integrate data management tools to enable real-time monitoring and reporting. Automation will simplify transactions, minimize manual errors, and enhance transparency by providing accurate and accessible records. By leveraging technology, the County aims to establish an efficient and citizen-friendly revenue collection system that inspires public trust.

##### **b) Expand the revenue base through diversification and innovation**

To reduce fiscal vulnerability, the County will identify and exploit new revenue opportunities while optimizing existing ones. Potential growth areas include property taxation, tourism, quarrying, agricultural value chains, and business permits. Innovative approaches such as the use of data analytics, public-private partnerships, and technology-driven valuation methods will be adopted to expand and stabilize the revenue base. Diversification will ensure steady revenue inflows, promote equity across sectors, and align fiscal growth with the County's development priorities.



**c) Enhance compliance and enforcement mechanisms**

Ensuring compliance with revenue laws is critical to sustainable revenue generation. The County will strengthen enforcement systems by revising legal frameworks, improving taxpayer identification, and intensifying compliance monitoring. Regular audits, public education campaigns, and the use of digital enforcement tools will promote voluntary compliance while ensuring fairness in revenue administration. Strict but transparent enforcement will deter evasion, safeguard public resources, and improve the predictability of revenue flows.

**d) Strengthen institutional capacity and staff competence**

A well-trained and motivated workforce is central to efficient revenue management. The County will invest in staff training, performance management, and capacity-building initiatives in areas such as financial administration, information technology, and customer relations. Institutional restructuring will also be undertaken to clarify roles, eliminate redundancies, and improve interdepartmental coordination. These reforms aim to build a professional, accountable, and service-oriented workforce capable of delivering sustained improvements in revenue performance.

**e) Improve citizen engagement and communication**

Citizen involvement is essential for effective revenue mobilization. The County will establish robust communication channels and public participation mechanisms to enhance awareness, trust, and compliance. This will involve regular stakeholder consultations, taxpayer education programs, and use of social and digital platforms to share information on revenue policies and utilization. By fostering open dialogue and transparency, the County will strengthen public confidence and promote shared responsibility in local revenue generation.

**f) Ensure prudent financial management and accountability**

Sound financial management will remain a cornerstone of revenue administration. The County will reinforce financial controls, strengthen audit and reconciliation processes, and ensure that all funds collected are efficiently allocated and properly utilized. Regular publication of financial reports and adherence to the Public Finance Management Act will enhance accountability and public trust. Prudent fiscal discipline will also ensure that resources are directed toward priority projects that deliver measurable socio-economic impact.

**g) Align revenue mobilization with economic growth and private sector competitiveness**

The County will ensure that its revenue strategies support, rather than hinder, economic growth and private enterprise. Policies will be designed to create an enabling business environment through simplified licensing processes, fair taxation, and investment incentives. Collaboration with the private sector and development partners will help spur entrepreneurship, attract investment, and expand the tax base. A thriving local economy will generate sustainable revenues while fostering job creation and inclusive prosperity.



### 5.3 Expected Outcomes

Successful implementation of these strategic objectives is expected to result in:

- Greater efficiency and transparency in revenue collection and reporting through automation and system integration.
- Increased revenue performance and fiscal sustainability, reducing dependence on external transfers.
- Enhanced data accuracy and integrity, enabling evidence-based planning and financial decision-making.
- Strengthened institutional systems and human resource capacity for effective and ethical revenue management.
- Improved citizen participation and satisfaction, resulting from open communication and accountability in revenue use.
- A more competitive and resilient county economy, driven by equitable and innovation-led revenue systems.



## **CHAPTER SIX**

### **STRATEGIC FRAMEWORK**

#### **6.1 Introduction**

The Revenue Mobilization Strategy will be implemented through six interlinked strategic pillars, each representing a critical area of reform necessary to achieve sustained improvements in Own Source Revenue (OSR) performance. These pillars provide a structured framework for addressing systemic weaknesses within the County's revenue administration system, unlocking new and untapped revenue sources, and strengthening institutional capacity to ensure long-term fiscal sustainability. Each pillar is designed to respond to specific challenges identified through situational analysis including weak enforcement mechanisms, limited automation, fragmented data management, under-valuation of assets, and low compliance rates. The interventions outlined under each pillar aim to modernize revenue systems, promote fairness and transparency, and create an enabling environment for efficient service delivery.

The seven pillars together form the operational backbone of this strategy. They are mutually reinforcing and collectively aligned with the County Integrated Development Plan (CIDP 2023–2027) and the Public Finance Management (PFM) framework. Through these pillars, the County seeks to establish a more efficient, transparent, and citizen-centered revenue system that not only increases revenue collection but also enhances public trust and accountability. Each pillar will be implemented through targeted actions, measurable outputs, and clear institutional responsibilities to ensure effective execution, monitoring, and reporting over the 2025–2030 period.

#### **6.2 Strategic Pillars for Implementation**

##### **Pillar 1: Revenue System Modernization and Automation**

###### **Rationale:**

Modern, integrated, and automated systems are essential for enhancing efficiency, transparency, and accountability in revenue collection.

###### **Key Strategic Actions:**

- Upgrade and integrate existing revenue management systems across departments.
- Introduce automated billing, digital receipts, and mobile payment platforms.
- Establish a centralized revenue database and analytics dashboard.
- Strengthen data security, privacy, and real-time reporting systems.
- Build capacity of staff on ICT skills and digital service delivery.

###### **Expected Outcomes:**

- Efficient, transparent, and tamper-proof revenue collection systems.
- Reduced revenue leakages and increased data integrity.
- Improved accessibility and convenience for taxpayers.

###### **Responsible Actors:**

County Treasury, Department of Revenue Management, Revenue facing departments, County ICT Directorate and Service Providers.



## **Pillar 2: Revenue Diversification and Expansion of the Tax Base**

### **Rationale:**

To achieve financial sustainability and reduce dependence on external transfers, the County must broaden its revenue base through innovative and diversified sources.

### **Key Strategic Actions:**

- Conduct revenue potential mapping and feasibility studies.
- Review and update valuation rolls, rates, and fees.
- Introduce new revenue streams (e.g., tourism, real estate, solid waste management, and natural resources).
- Encourage public-private partnerships (PPPs) for service delivery and investment.
- Promote economic activities that enhance taxable value.

### **Expected Outcomes:**

- Broadened revenue base with diversified income sources.
- Enhanced fiscal sustainability and reduced dependence on national transfers.
- Improved local investment climate and productivity.

### **Responsible Actors:**

Departments of Revenue Management, Revenue facing departments, Office of the County attorney

## **Pillar 3: Compliance, Enforcement, and Good Governance**

### **Rationale:**

Strengthening legal frameworks and compliance mechanisms ensures fairness, integrity, and accountability in the revenue process.

### **Key Strategic Actions:**

- Review and harmonize all revenue-related laws and by-laws.
- Establish a robust compliance monitoring and enforcement unit.
- Introduce e-enforcement tools for tracking defaulters.
- Conduct taxpayer profiling and registration.
- Implement anti-corruption measures and internal audit checks.

### **Expected Outcomes:**

- Enhanced voluntary compliance and reduced evasion.
- Strengthened public trust through transparent processes.
- Effective enforcement of revenue laws and policies.

### **Responsible Actors:**

Departments of Revenue Management, Revenue facing departments, Office of the County Attorney , Inspectorate and Enforcement Unit and Internal Audit Office.



#### **Pillar 4: Institutional Capacity, Human Resource Development, and Accountability**

##### **Rationale:**

Effective implementation of revenue reforms depends on competent personnel, strong institutional frameworks, and clear accountability mechanisms.

##### **Key Strategic Actions:**

- Conduct capacity assessments and implement targeted training programs.
- Strengthen the County Revenue Board and departmental coordination.
- Introduce performance-based management and incentives.
- Establish internal control systems and regular audit mechanisms.
- Promote ethical behavior, professionalism, and integrity.

##### **Expected Outcomes:**

- Skilled, motivated, and accountable workforce.
- Strengthened institutional efficiency and coordination.
- Enhanced service delivery and professionalism in revenue management.

##### **Responsible Actors:**

Office of the County Secretary, Departments of Revenue Management, Revenue facing departments, Treasury, Department of Public Service and Performance Management and Machakos County Public Board

#### **Pillar 5: Citizen Engagement, Communication, and Stakeholder Partnership**

##### **Rationale:**

Sustainable revenue mobilization depends on citizen trust, participation, and understanding of the importance of paying county dues.

##### **Key Strategic Actions:**

- Develop and implement a taxpayer education and awareness strategy.
- Establish citizen feedback and grievance redress mechanisms.
- Use digital and traditional media for communication and public education.
- Build partnerships with civil society, business associations, and community organizations.
- Institutionalize participatory budgeting and planning forums.

##### **Expected Outcomes:**

- Informed and cooperative citizens who willingly comply with revenue obligations.
- Improved transparency, trust, and accountability.
- Strengthened partnership between the County and private sector.

##### **Responsible Actors:**

Departments of Revenue Management; Revenue facing departments; Department responsible for public participation and Civic Engagement; Public Communication Office, ICT Directorate, Civil Society and Private Sector Partners.



## **Pillar 6: Prudent Financial Management and Accountability**

### **Rationale:**

Sound financial management forms the foundation of effective revenue administration. For Machakos County to achieve fiscal sustainability and public confidence, it must ensure that every shilling collected is properly accounted for and used to deliver tangible public value.

### **Key Strategic Actions:**

- Strengthen internal financial control systems, audits, and reconciliation procedures.
- Enforce adherence to the Public Finance Management (PFM) Act and related regulations.
- Implement automated financial reporting and expenditure tracking systems.
- Regularly publish revenue and expenditure performance reports for public access.
- Establish an Internal Audit and Compliance Committee to monitor fiscal discipline.
- Ensure budget allocations are linked to performance and development outcomes.

### **Expected Outcomes:**

- Enhanced financial transparency and public trust.
- Efficient utilization of county resources toward priority programs.
- Strengthened fiscal discipline and reduced wastage.
- Improved audit compliance and credibility of financial statements.

### **Responsible Actors:**

County Treasury, Internal Audit Unit, County Assembly (Public Accounts Committee), Office of the Auditor General, and Departmental Finance and Revenue Officers.

## **Pillar 7: Revenue Mobilization Aligned with Economic Growth and Private Sector Competitiveness**

### **Rationale:**

Revenue generation must complement—not constrain—economic activity. A business-friendly and growth-oriented fiscal policy ensures that revenue mobilization supports private sector development, job creation, and long-term county prosperity.

### **Key Strategic Actions:**

- Review and simplify business licensing and permit processes.
- Design fair and predictable taxation frameworks that promote investment.
- Introduce fiscal incentives for strategic investments and local enterprise development.
- Strengthen partnerships with private sector actors and business associations.
- Establish a County Business Council to enhance dialogue between the County and investors.
- Align revenue policies with the County's economic development strategies and value chain priorities.

### **Expected Outcomes:**

- Improved private sector competitiveness and investment climate.
- Enhanced collaboration between the County, private sector, and development partners.
- Sustainable expansion of the local revenue base.



## **CHAPTER FOUR**

### **VISION, MISSION AND GUIDING PRINCIPLES**

#### **4.1 Vision**

*A county committed to financial independence and transparency, delivering high-quality services through efficient and sustainable revenue strategies.*

This vision expresses the County Government's ambition to attain fiscal self-reliance by steadily reducing dependence on external funding and grants. The County aims to strengthen its own-source revenues through diversified, transparent, and well-managed systems built on integrity and innovation. It envisions a future where revenue collection processes are modernized, citizen-oriented, and resilient enough to withstand economic fluctuations. Transparency will be at the heart of all operations to guarantee that revenue generation is traceable, lawful, and results-driven. Ultimately, the vision aspires to build lasting public trust by demonstrating that collected revenues directly translate into improved service delivery and enhanced living standards for all residents.

#### **4.2 Mission**

*To ensure the efficient, equitable, and transparent mobilization, management, and accounting of county revenues, thereby supporting inclusive socio-economic development.*

This mission underscores the County's commitment to sound financial governance and effective resource utilization. It aims to strengthen institutional frameworks that support seamless revenue collection and management through technology-driven systems and skilled human capital. Efficiency will be achieved through automation, process simplification, and enhanced monitoring. Equity will ensure fairness in tax obligations while protecting vulnerable groups. Transparency and accountability will be reinforced through regular financial reporting, citizen participation, and consistent audits. The mission aligns with the County's wider objective of inclusive development ensuring that the benefits of revenue utilization reach every community and foster shared prosperity.

#### **4.3 Core Values**

The execution of this strategy is underpinned by a set of guiding values that define institutional conduct, promote organizational excellence, and ensure alignment with the County's development priorities.

##### **a) Accountability**

The County is committed to maintaining integrity and openness in the management of all revenues. Every officer entrusted with revenue-related responsibilities will be answerable for their actions, ensuring that resources collected are used responsibly and in the public interest.



**b) Equity**

Revenue systems will be implemented in a just and impartial manner. The County will guarantee that all taxpayers are treated equally while considering the needs of disadvantaged and marginalized groups, ensuring that fiscal obligations are fair and proportionate.

**c) Professionalism**

Revenue officers will uphold high standards of ethics, competence, and diligence. Continuous training and capacity-building initiatives will be promoted to enhance efficiency, ensure adherence to ethical codes, and encourage responsible service delivery.

**d) Innovation**

The County acknowledges that technology is key to transforming revenue administration. It will adopt creative solutions such as digital payment platforms, data analytics, and GIS-based mapping to streamline operations, improve accuracy, and reduce leakages.

**e) Citizen Focus**

The County will strengthen engagement with residents by enhancing taxpayer education, feedback mechanisms, and participatory forums. This approach aims to foster voluntary compliance, improve satisfaction, and nurture trust between citizens and government institutions.

**f) Teamwork**

Revenue mobilization requires collaboration across all departments and partners. The County will cultivate teamwork, mutual respect, and cooperation among staff, departments, the private sector, and development partners to achieve common fiscal goals.

**4.4 Guiding Principles**

The County Revenue Strategy is anchored on a set of foundational principles that define its fiscal management philosophy and operational direction.

- **Equity and Fairness:** Revenue policies, rates, and laws will be guided by fairness and the principle of ability to pay. Taxpayers in similar economic conditions will be treated equitably, ensuring that no group bears an undue financial burden. The County will also remain sensitive to prevailing business and household conditions to maintain a balanced and just system.

- **Efficiency and Effectiveness:** Revenue collection processes will aim to reduce administrative costs and enhance returns. Through automation, clear procedures, and capacity development, the County will maximize productivity while ensuring prudent use of available resources.



- **Accountability and Transparency:** All revenue operations will be open and verifiable. The County will leverage automated systems for real-time monitoring, documentation, and audit trails, ensuring that every transaction is transparent. Regular publication of revenue performance reports will further enhance public trust and fiscal credibility.
- **Participation:** The County recognizes that an inclusive revenue framework requires active stakeholder involvement. Consultations with citizens, business communities, and civil society will inform the formulation, review, and implementation of fiscal policies. This participatory approach fosters ownership and compliance.
- **Sustainability:** The County will adopt long-term revenue strategies that balance economic growth, environmental protection, and social inclusion. Emphasis will be placed on supporting green initiatives, responsible resource use, and policies that promote intergenerational equity.
- **Legal Compliance:** All revenue-related reforms, systems, and enforcement procedures will conform to the Constitution of Kenya, the Public Finance Management Act, the County Governments Act, and other applicable legislation. Adherence to the law will strengthen institutional legitimacy and ensure alignment with national fiscal frameworks.



## CHAPTER FIVE

### STRATEGIC GOALS AND OBJECTIVES

#### 5.1 Overall Goal

*To strengthen Machakos County's ability to sustainably mobilize, manage, and account for revenues in order to accelerate service delivery, promote inclusive growth, and achieve long-term fiscal sustainability.*

This goal underscores the County's determination to develop a self-sustaining revenue system that supports responsive governance and improved quality of life. It reflects the County's ambition to progressively reduce dependence on external funding through the establishment of reliable, diversified, and transparent local revenue streams. A strong fiscal foundation will enable the County to deliver quality services, invest in infrastructure, and stimulate socio-economic transformation. Ultimately, the goal is to create a revenue management framework that guarantees financial independence, efficiency, and accountability in the use of public resources.

#### 5.2 Strategic Objectives

To realize this goal, Machakos County will pursue the following strategic objectives aimed at enhancing revenue generation, strengthening institutional capacity, and promoting transparency and citizen confidence in fiscal management.

##### **a) Modernize and automate revenue collection systems for efficiency, effectiveness, and transparency**

The County will continue to digitize its revenue processes to improve operational efficiency and reduce revenue leakages. This will include upgrading information systems, adopt electronic payment platforms, and integrate data management tools to enable real-time monitoring and reporting. Automation will simplify transactions, minimize manual errors, and enhance transparency by providing accurate and accessible records. By leveraging technology, the County aims to establish an efficient and citizen-friendly revenue collection system that inspires public trust.

##### **b) Expand the revenue base through diversification and innovation**

To reduce fiscal vulnerability, the County will identify and exploit new revenue opportunities while optimizing existing ones. Potential growth areas include property taxation, tourism, quarrying, agricultural value chains, and business permits. Innovative approaches such as the use of data analytics, public-private partnerships, and technology-driven valuation methods will be adopted to expand and stabilize the revenue base. Diversification will ensure steady revenue inflows, promote equity across sectors, and align fiscal growth with the County's development priorities.



**c) Enhance compliance and enforcement mechanisms**

Ensuring compliance with revenue laws is critical to sustainable revenue generation. The County will strengthen enforcement systems by revising legal frameworks, improving taxpayer identification, and intensifying compliance monitoring. Regular audits, public education campaigns, and the use of digital enforcement tools will promote voluntary compliance while ensuring fairness in revenue administration. Strict but transparent enforcement will deter evasion, safeguard public resources, and improve the predictability of revenue flows.

**d) Strengthen institutional capacity and staff competence**

A well-trained and motivated workforce is central to efficient revenue management. The County will invest in staff training, performance management, and capacity-building initiatives in areas such as financial administration, information technology, and customer relations. Institutional restructuring will also be undertaken to clarify roles, eliminate redundancies, and improve interdepartmental coordination. These reforms aim to build a professional, accountable, and service-oriented workforce capable of delivering sustained improvements in revenue performance.

**e) Improve citizen engagement and communication**

Citizen involvement is essential for effective revenue mobilization. The County will establish robust communication channels and public participation mechanisms to enhance awareness, trust, and compliance. This will involve regular stakeholder consultations, taxpayer education programs, and use of social and digital platforms to share information on revenue policies and utilization. By fostering open dialogue and transparency, the County will strengthen public confidence and promote shared responsibility in local revenue generation.

**f) Ensure prudent financial management and accountability**

Sound financial management will remain a cornerstone of revenue administration. The County will reinforce financial controls, strengthen audit and reconciliation processes, and ensure that all funds collected are efficiently allocated and properly utilized. Regular publication of financial reports and adherence to the Public Finance Management Act will enhance accountability and public trust. Prudent fiscal discipline will also ensure that resources are directed toward priority projects that deliver measurable socio-economic impact.

**g) Align revenue mobilization with economic growth and private sector competitiveness**

The County will ensure that its revenue strategies support, rather than hinder, economic growth and private enterprise. Policies will be designed to create an enabling business environment through simplified licensing processes, fair taxation, and investment incentives. Collaboration with the private sector and development partners will help spur entrepreneurship, attract investment, and expand the tax base. A thriving local economy will generate sustainable revenues while fostering job creation and inclusive prosperity.



### 5.3 Expected Outcomes

Successful implementation of these strategic objectives is expected to result in:

- Greater efficiency and transparency in revenue collection and reporting through automation and system integration.
- Increased revenue performance and fiscal sustainability, reducing dependence on external transfers.
- Enhanced data accuracy and integrity, enabling evidence-based planning and financial decision-making.
- Strengthened institutional systems and human resource capacity for effective and ethical revenue management.
- Improved citizen participation and satisfaction, resulting from open communication and accountability in revenue use.
- A more competitive and resilient county economy, driven by equitable and innovation-led revenue systems.



## **CHAPTER SIX**

### **STRATEGIC FRAMEWORK**

#### **6.1 Introduction**

The Revenue Mobilization Strategy will be implemented through six interlinked strategic pillars, each representing a critical area of reform necessary to achieve sustained improvements in Own Source Revenue (OSR) performance. These pillars provide a structured framework for addressing systemic weaknesses within the County's revenue administration system, unlocking new and untapped revenue sources, and strengthening institutional capacity to ensure long-term fiscal sustainability. Each pillar is designed to respond to specific challenges identified through situational analysis including weak enforcement mechanisms, limited automation, fragmented data management, under-valuation of assets, and low compliance rates. The interventions outlined under each pillar aim to modernize revenue systems, promote fairness and transparency, and create an enabling environment for efficient service delivery.

The seven pillars together form the operational backbone of this strategy. They are mutually reinforcing and collectively aligned with the County Integrated Development Plan (CIDP 2023–2027) and the Public Finance Management (PFM) framework. Through these pillars, the County seeks to establish a more efficient, transparent, and citizen-centered revenue system that not only increases revenue collection but also enhances public trust and accountability. Each pillar will be implemented through targeted actions, measurable outputs, and clear institutional responsibilities to ensure effective execution, monitoring, and reporting over the 2025–2030 period.

#### **6.2 Strategic Pillars for Implementation**

##### **Pillar 1: Revenue System Modernization and Automation**

###### **Rationale:**

Modern, integrated, and automated systems are essential for enhancing efficiency, transparency, and accountability in revenue collection.

###### **Key Strategic Actions:**

- Upgrade and integrate existing revenue management systems across departments.
- Introduce automated billing, digital receipts, and mobile payment platforms.
- Establish a centralized revenue database and analytics dashboard.
- Strengthen data security, privacy, and real-time reporting systems.
- Build capacity of staff on ICT skills and digital service delivery.

###### **Expected Outcomes:**

- Efficient, transparent, and tamper-proof revenue collection systems.
- Reduced revenue leakages and increased data integrity.
- Improved accessibility and convenience for taxpayers.

###### **Responsible Actors:**

County Treasury, Department of Revenue Management, Revenue facing departments, County ICT Directorate and Service Providers.



## **Pillar 2: Revenue Diversification and Expansion of the Tax Base**

### **Rationale:**

To achieve financial sustainability and reduce dependence on external transfers, the County must broaden its revenue base through innovative and diversified sources.

### **Key Strategic Actions:**

- Conduct revenue potential mapping and feasibility studies.
- Review and update valuation rolls, rates, and fees.
- Introduce new revenue streams (e.g., tourism, real estate, solid waste management, and natural resources).
- Encourage public-private partnerships (PPPs) for service delivery and investment.
- Promote economic activities that enhance taxable value.

### **Expected Outcomes:**

- Broadened revenue base with diversified income sources.
- Enhanced fiscal sustainability and reduced dependence on national transfers.
- Improved local investment climate and productivity.

### **Responsible Actors:**

Departments of Revenue Management, Revenue facing departments, Office of the County attorney

## **Pillar 3: Compliance, Enforcement, and Good Governance**

### **Rationale:**

Strengthening legal frameworks and compliance mechanisms ensures fairness, integrity, and accountability in the revenue process.

### **Key Strategic Actions:**

- Review and harmonize all revenue-related laws and by-laws.
- Establish a robust compliance monitoring and enforcement unit.
- Introduce e-enforcement tools for tracking defaulters.
- Conduct taxpayer profiling and registration.
- Implement anti-corruption measures and internal audit checks.

### **Expected Outcomes:**

- Enhanced voluntary compliance and reduced evasion.
- Strengthened public trust through transparent processes.
- Effective enforcement of revenue laws and policies.

### **Responsible Actors:**

Departments of Revenue Management, Revenue facing departments, Office of the County Attorney , Inspectorate and Enforcement Unit and Internal Audit Office.



#### **Pillar 4: Institutional Capacity, Human Resource Development, and Accountability**

##### **Rationale:**

Effective implementation of revenue reforms depends on competent personnel, strong institutional frameworks, and clear accountability mechanisms.

##### **Key Strategic Actions:**

- Conduct capacity assessments and implement targeted training programs.
- Strengthen the County Revenue Board and departmental coordination.
- Introduce performance-based management and incentives.
- Establish internal control systems and regular audit mechanisms.
- Promote ethical behavior, professionalism, and integrity.

##### **Expected Outcomes:**

- Skilled, motivated, and accountable workforce.
- Strengthened institutional efficiency and coordination.
- Enhanced service delivery and professionalism in revenue management.

##### **Responsible Actors:**

Office of the County Secretary, Departments of Revenue Management, Revenue facing departments, Treasury, Department of Public Service and Performance Management and Machakos County Public Board

#### **Pillar 5: Citizen Engagement, Communication, and Stakeholder Partnership**

##### **Rationale:**

Sustainable revenue mobilization depends on citizen trust, participation, and understanding of the importance of paying county dues.

##### **Key Strategic Actions:**

- Develop and implement a taxpayer education and awareness strategy.
- Establish citizen feedback and grievance redress mechanisms.
- Use digital and traditional media for communication and public education.
- Build partnerships with civil society, business associations, and community organizations.
- Institutionalize participatory budgeting and planning forums.

##### **Expected Outcomes:**

- Informed and cooperative citizens who willingly comply with revenue obligations.
- Improved transparency, trust, and accountability.
- Strengthened partnership between the County and private sector.

##### **Responsible Actors:**

Departments of Revenue Management; Revenue facing departments; Department responsible for public participation and Civic Engagement; Public Communication Office, ICT Directorate, Civil Society and Private Sector Partners.



## **Pillar 6: Prudent Financial Management and Accountability**

### **Rationale:**

Sound financial management forms the foundation of effective revenue administration. For Machakos County to achieve fiscal sustainability and public confidence, it must ensure that every shilling collected is properly accounted for and used to deliver tangible public value.

### **Key Strategic Actions:**

- Strengthen internal financial control systems, audits, and reconciliation procedures.
- Enforce adherence to the Public Finance Management (PFM) Act and related regulations.
- Implement automated financial reporting and expenditure tracking systems.
- Regularly publish revenue and expenditure performance reports for public access.
- Establish an Internal Audit and Compliance Committee to monitor fiscal discipline.
- Ensure budget allocations are linked to performance and development outcomes.

### **Expected Outcomes:**

- Enhanced financial transparency and public trust.
- Efficient utilization of county resources toward priority programs.
- Strengthened fiscal discipline and reduced wastage.
- Improved audit compliance and credibility of financial statements.

### **Responsible Actors:**

County Treasury, Internal Audit Unit, County Assembly (Public Accounts Committee), Office of the Auditor General, and Departmental Finance and Revenue Officers.

## **Pillar 7: Revenue Mobilization Aligned with Economic Growth and Private Sector Competitiveness**

### **Rationale:**

Revenue generation must complement—not constrain—economic activity. A business-friendly and growth-oriented fiscal policy ensures that revenue mobilization supports private sector development, job creation, and long-term county prosperity.

### **Key Strategic Actions:**

- Review and simplify business licensing and permit processes.
- Design fair and predictable taxation frameworks that promote investment.
- Introduce fiscal incentives for strategic investments and local enterprise development.
- Strengthen partnerships with private sector actors and business associations.
- Establish a County Business Council to enhance dialogue between the County and investors.
- Align revenue policies with the County's economic development strategies and value chain priorities.

### **Expected Outcomes:**

- Improved private sector competitiveness and investment climate.
- Enhanced collaboration between the County, private sector, and development partners.
- Sustainable expansion of the local revenue base.



- Increased employment opportunities and inclusive economic growth.

**Responsible Actors:**

Departments of Revenue Management; Revenue facing departments; Office of the County Secretary; Department of Economic Planning and Development Partners.



## CHAPTER SEVEN

### IMPLEMENTATION FRAMEWORK

#### 7.1 Overview

The successful implementation of the Machakos County Revenue Mobilization Strategy (2025–2030) depends on a well-defined implementation framework that clearly outlines roles, responsibilities, timelines, and coordination mechanisms among key stakeholders. The framework seeks to translate strategic intentions into actionable, measurable, and sustainable outcomes.

It provides a structured pathway for the County to progressively strengthen its revenue administration capacity, improve compliance levels, and enhance service delivery. Implementation will adopt a phased approach, ensuring that priority reforms are initiated early, while longer-term initiatives are developed systematically and sustainably.

#### 7.2. Institutional Framework

Implementation will be guided by existing governance and financial management structures in accordance with the Public Finance Management (PFM) Act, 2012 and related County legislation. The process will be led by the Department of Revenue Management working closely with all revenue facing departments, sub-county offices, and external partners.

Key institutional roles include:

| Institution / Entity                                                                               | Role and Responsibility                                                                                                                                                                                                           |
|----------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| County Executive Committee (CEC) Member for Finance, Economic Planning, Revenue management and ICT | Provides policy direction, oversight, and approval of implementation plans; ensures alignment with the CIDP and CFSP.                                                                                                             |
| Department of Revenue Management                                                                   | Leads implementation, coordinates all revenue-related activities, manages performance monitoring, and prepares progress reports.<br>External resource mobilization and partnerships with development partners and private sector. |
| County Treasury                                                                                    | Ensures integration of revenue strategies into budget frameworks, financial reporting, and expenditure planning.                                                                                                                  |
| Sub-County and Ward Administrations                                                                | Support revenue mobilization at local levels through enforcement, data collection, and stakeholder engagement.                                                                                                                    |
| County Assembly                                                                                    | Exercises oversight, approves policies, and reviews revenue-related legislation.                                                                                                                                                  |
| ICT Directorate                                                                                    | Provides digital infrastructure, data security, and technical support for automation systems.                                                                                                                                     |
| Legal Services Department                                                                          | Reviews and harmonizes legal instruments and supports enforcement processes.                                                                                                                                                      |
| Development Partners and Private Sector                                                            | Provide technical assistance, innovation support, and investment partnerships in revenue initiatives.                                                                                                                             |



### 7.3. Implementation Phases

Implementation of the strategy will take place over a six-year period (2025–2030), structured into three main phases:

| Phase     | Focus Areas                                      | Key Outputs                                                                              | Timeline  |
|-----------|--------------------------------------------------|------------------------------------------------------------------------------------------|-----------|
| Phase I   | Institutional foundation and digital integration | Baseline survey completed, automation policy developed, pilot systems launched           | 2025–2026 |
| Phase II  | Expansion and enforcement                        | Roll-out of automated revenue systems, valuation roll updated, legal reforms implemented | 2026–2028 |
| Phase III | Consolidation and sustainability                 | Institutionalization of reforms, enhanced M&E, increased revenue yield                   | 2028–2030 |

Each phase will be guided by annual work plans, performance targets, and budget allocations approved through the County Fiscal Strategy Paper (CFSP) process. Implementing the Revenue Mobilization Strategy will require significant financial and institutional investment to strengthen the County's capacity for sustainable revenue collection and management. These costs encompass both development and operational expenditures necessary for upgrading systems, building staff capacity, and enhancing service delivery efficiency.

The estimated costs reflect the resources required to execute the strategic pillars outlined in this plan. They will be incorporated into the County's Medium-Term Expenditure Framework (MTEF) and aligned with the County Integrated Development Plan (CIDP) to ensure coordinated budgeting and prioritization.

#### 7.3.1 Major Cost Components

The total cost of implementing this strategy will depend on the scope, timing, and scale of planned activities. The primary cost elements are as follows:

##### a) System Modernization and Automation

Upgrading the County's revenue collection infrastructure will involve substantial capital investment. This includes the acquisition of digital revenue management systems, ICT hardware, and data integration tools. Recurrent expenses will cover software maintenance, licensing, and user training.

##### Key Cost Areas:

- Procurement and integration of a County Revenue Management System (CRMS).
- Installation of ICT networks and data security systems.
- Continuous training and technical support for staff.
- Regular system upgrades and maintenance.



#### **b) Revenue Diversification and Policy Development**

Diversifying the County's revenue base requires studies to identify new income sources, review existing fiscal policies, and develop enabling legal frameworks.

##### **Key Cost Areas:**

- Research and feasibility studies on new revenue streams.
- Review and drafting of revenue-related by-laws and valuation rolls.
- Stakeholder consultations and policy validation workshops.
- Pilot projects for alternative revenue initiatives.

#### **c) Compliance, Enforcement, and Governance**

Enhancing compliance and enforcement will demand investment in logistical support, digital enforcement tools, and staff training to promote accountability.

##### **Key Cost Areas:**

- Purchase of enforcement vehicles and field equipment.
- Development of taxpayer registration and monitoring systems.
- Training for compliance officers and field staff.
- Regular audit and inspection exercises.

#### **d) Institutional Capacity Building and Human Resource Development**

A competent and motivated workforce is essential for effective implementation. Resources will be needed for training, recruitment, and performance management.

##### **Key Cost Areas:**

- Skills development workshops and certification programs.
- Recruitment of specialized staff in finance, ICT, and auditing.
- Staff motivation and performance-based reward systems.
- Development of operational manuals and standard procedures.

#### **e) Citizen Engagement and Communication**

Public awareness and participation are vital for improving compliance and trust. Resources will be allocated for public campaigns and feedback mechanisms.

##### **Key Cost Areas:**

- Production of taxpayer education materials and media campaigns.
- Organization of public forums and barazas.
- Establishment of customer service centers and feedback channels.
- Development of online communication platforms.



#### **f) Financial Management and Accountability**

Strengthening financial control and accountability will involve enhancing audit capacity, reporting mechanisms, and internal control systems.

##### **Key Cost Areas:**

- Procurement of financial reporting software and accounting tools.
- Conducting internal and external audits.
- Publication of quarterly and annual financial reports.
- Training in financial management and risk control.

#### **g) Private Sector Engagement and Economic Competitiveness**

Collaboration with the private sector will require investments in dialogue platforms, investor forums, and partnership frameworks to promote growth and job creation.

##### **Key Cost Areas:**

- County–Private Sector consultative meetings and business expos.
- Investor promotion and partnership agreements.
- Development of investment incentive frameworks.
- Feasibility studies for Public-Private Partnership (PPP) projects.

#### **7.3.2 Indicative Cost Distribution**

| Strategic Pillar                          | Cost Category            | Estimated Cost (Millions) | Source of Financing              |
|-------------------------------------------|--------------------------|---------------------------|----------------------------------|
| System Modernization and Automation       | High (Capital Intensive) | 200                       | Development Budget, ICT Grants   |
| Revenue Diversification and Policy Reform | Medium                   | 100                       | County Budget, Donor Support     |
| Compliance and Enforcement                | Medium                   | 80                        | Recurrent & Development Funds    |
| Institutional Capacity Building           | Medium                   | 40                        | Recurrent Expenditure            |
| Citizen Engagement and Communication      | Low–Medium               | 30                        | Recurrent & Development Partners |
| Financial Management and Accountability   | Medium                   | 40                        | Recurrent Budget                 |
| Private Sector Competitiveness            | Medium                   | 50                        | Development & PPPs               |
| <b>TOTAL</b>                              |                          | <b>540</b>                |                                  |

*Note: The above figures are indicative and will be refined during annual budget preparation and project costing.*



#### 7.4 Financing Approach

To meet these financial requirements, the County will adopt a diversified financing strategy that includes:

1. **County Own-Source Revenues** – Allocating a percentage of collections to fund revenue system modernization and capacity-building initiatives.
2. **National Government Transfers** – Utilizing conditional grants and allocations for ICT and institutional development.
3. **Development Partner Assistance** – Seeking support from development agencies for automation, training, and policy reform programs.
4. **Public-Private Partnerships (PPPs)** – Engaging private investors in developing and managing key revenue infrastructure.
5. **Cost Recovery Mechanisms** – Introducing service fees and commissions for outsourced revenue collection services.

#### 7.5 Ensuring Sustainability

To guarantee long-term financial sustainability, the County will prioritize investments that generate recurring benefits, such as automation, human capacity development, and institutional reforms. Operational costs will be gradually absorbed into departmental budgets, while large capital expenditures will be implemented in phases. Continuous monitoring, evaluation, and value-for-money audits will ensure resources are efficiently utilized. Although implementing the Revenue Mobilization Strategy entails significant financial commitments, the anticipated gains including enhanced revenue performance, fiscal autonomy, and improved service delivery will far outweigh the costs. Through prudent resource management, transparent expenditure, and strategic partnerships, Machakos County will strengthen its fiscal foundation and drive inclusive socio-economic growth.

#### 7.6. Revenue Projection Analysis

The revenue projection covering the period 2024/2025 to 2029/2030 reflects a consistent and progressive upward trend in own-source revenue performance. The baseline year, FY 2024/2025, records an actual revenue of KSh 2,185,724,461, forming the benchmark for future growth estimates.

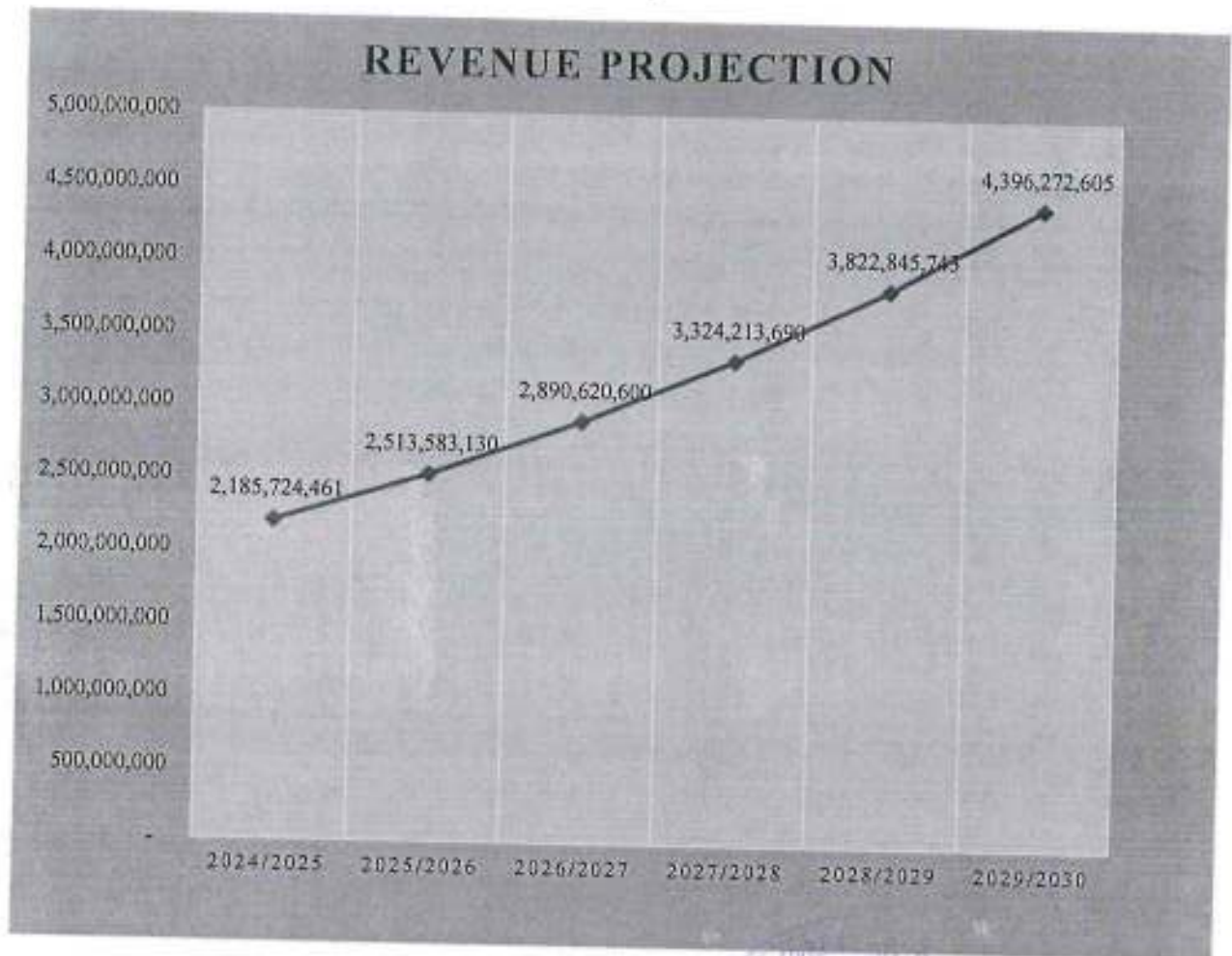
For FY 2025/2026, revenue is projected to increase to KSh 2,513,583,130, representing about a 15% rise from the baseline. This growth is anticipated to result from enhanced compliance, broadening of the revenue base, and the implementation of digital revenue management systems.

The positive momentum continues into FY 2026/2027, with projected revenue reaching KSh 2,890,620,600, and further to KSh 3,324,213,690 in FY 2027/2028. These gains highlight the County Government's ongoing efforts to strengthen enforcement, streamline revenue processes, and improve overall efficiency.



By FY 2028/2029, collections are expected to rise to KSh 3,822,845,743, and ultimately to KSh 4,396,272,605 in FY 2029/2030. This represents a cumulative increase of approximately 101% over the five-year horizon, signifying sustained fiscal growth and stability.

In summary, the projection affirms the County's determination to maximize revenue performance through policy reforms, innovative approaches, and efficient mobilization strategies. The sustained upward trajectory points to improved financial sustainability and a stronger capacity to finance key development priorities in the medium and long term.



|                                                         |                                                                                      |
|---------------------------------------------------------|--------------------------------------------------------------------------------------|
| Revenue Enforcement and Legal Units                     | Report compliance, enforcement, and legal progress indicators.                       |
| County ICT Directorate                                  | Manages digital data systems, dashboards, and information security.                  |
| M&E Committee (Cross-Departmental)                      | Reviews reports, ensures indicator consistency, and provides technical guidance.     |
| County Assembly and Oversight Committees                | Review reports and ensure accountability through legislative oversight.              |
| Civil Society, Private Sector, and Development Partners | Provide feedback, capacity support, and participate in learning and review sessions. |

#### 8.4 Monitoring Framework

Monitoring will be continuous and multi-level, focusing on tracking inputs, outputs, and immediate outcomes of strategic interventions.

Key monitoring tools and processes include:

- Monthly performance dashboards from the Integrated County Revenue Management System (ICRMS).
- Quarterly progress review meetings at departmental and county levels.
- Annual performance scorecards for the six strategic pillars.
- Citizen engagement platforms for collecting real-time feedback on service delivery.
- Field visits and verification missions to validate reported data.
- Digital data repositories for real-time analysis and reporting.

#### Key Monitoring Indicators:

| Result Area                   | Indicator                                          | Frequency   | Responsible Unit                                                                |
|-------------------------------|----------------------------------------------------|-------------|---------------------------------------------------------------------------------|
| Revenue Collection Efficiency | Percentage increase in Own Source Revenue (OSR)    | Quarterly   | Department of Revenue management                                                |
| Digital Transformation        | % of revenue streams automated                     | Semi-Annual | ICT Directorate, Revenue Department                                             |
| Compliance and Enforcement    | % reduction in arrears and non-compliance cases    | Quarterly   | Compliance and Enforcement Unit                                                 |
| Stakeholder Engagement        | Number of taxpayer/citizen education sessions held | Quarterly   | Public Participation Unit / Revenue Management Secretariat                      |
| Capacity Building             | Number of staff trained in revenue management      | Quarterly   | Department of Public Service and Performance Management / External Stakeholders |



### 8.5 Evaluation Framework

Evaluation will determine whether the strategy is achieving its intended results, identify challenges, and provide recommendations for improvement. Evaluations will be conducted at three levels:

| Type of Evaluation  | Objective                                                                             | Timeline |
|---------------------|---------------------------------------------------------------------------------------|----------|
| Baseline Evaluation | Establish reference indicators and fiscal performance benchmarks.                     | 2025     |
| Mid-Term Evaluation | Assess implementation progress, identify bottlenecks, and recommend adjustments.      | 2027     |
| End-Term Evaluation | Measure cumulative achievements, assess sustainability, and document lessons learned. | 2030     |

#### Evaluation Criteria:

- Relevance: Are interventions aligned with County priorities and fiscal needs?
- Effectiveness: Have planned outcomes been achieved?
- Efficiency: Have resources been used optimally?
- Impact: What changes have resulted from the interventions?
- Sustainability: Are outcomes likely to continue beyond the strategy period?

### 8.6 Learning Framework

Learning is a key component of the MELR system and is designed to promote adaptation, knowledge sharing, and continuous improvement. The County Government of Machakos will institutionalize learning loops at operational, technical, and policy levels.

#### Learning Mechanisms:

- Quarterly learning forums for departments to share experiences and innovations.
- Annual County Revenue Learning Report summarizing key lessons and best practices.
- Peer learning exchanges with other counties and regional forums.
- Documentation of case studies and success stories to inform future policy design.
- Knowledge management systems to store, analyze, and disseminate M&E data.

Learning outcomes will inform policy adjustments, resource reallocation, and staff capacity development.



### 8.7 Reporting Framework

Reporting will follow established PFM reporting channels and will be aligned with the County's planning and budgeting cycle. Reports will emphasize transparency, accountability, and accessibility to both internal and external stakeholders.

| Report Type                               | Prepared By                                                | Submitted To / Shared With                                   | Frequency |
|-------------------------------------------|------------------------------------------------------------|--------------------------------------------------------------|-----------|
| Monthly Revenue Performance Reports       | Revenue Management Secretariat                             | County Treasury, CEC Finance                                 | Monthly   |
| Quarterly Implementation Progress Reports | Revenue Management Secretariat                             | County Executive Committee                                   | Quarterly |
| Annual Revenue Mobilization Report        | Revenue Management Secretariat, County Treasury            | County Assembly, Controller of Budget                        | Annually  |
| Mid-Term Evaluation Report                | Independent Evaluation Team                                | County Executive and Public                                  | 2027      |
| End-Term Evaluation Report                | Independent Evaluation Team                                | County Assembly, National Treasury, and Development Partners | 2030      |
| Citizen Accountability Reports            | Public Participation Unit / Revenue Management Secretariat | General Public via website and barazas                       | Annual    |

### 8.8. Data Management and Quality Assurance

Data integrity and reliability are essential for credible reporting and decision-making. The County will develop and enforce data quality standards that ensure consistency, accuracy, timeliness, and completeness.

Key data quality assurance measures include:

- Use of automated data collection tools and centralized databases.
- Periodic data verification and validation by internal audit units.
- Standardized reporting templates and metadata definitions.
- Continuous training for staff on data management and reporting.
- Independent data audits by external evaluators.



### 8.9 Feedback and Adaptive Management

MELR findings will be actively used to improve implementation through a feedback and adaptation process. Performance data and evaluation results will inform:

- Budget reallocations and resource prioritization.

- Policy revisions and legislative updates.
- Capacity-building initiatives for revenue staff.
- Adjustment of performance targets and operational strategies.

This iterative process will enhance flexibility, responsiveness, and sustainability in achieving revenue objectives.

#### 8.10 Accountability and Transparency

To promote public trust, the County will ensure open access to MELR information and performance results.

Key accountability mechanisms include:

- Publishing quarterly and annual reports on the County's website.
- Holding public revenue forums to disseminate results.
- Using citizen scorecards and satisfaction surveys.
- Strengthening oversight by the County Assembly and the Controller of Budget.

#### 8.11 Expected Outcomes of the MELR Framework

By 2030, the MELR system is expected to:

- Institutionalize a culture of evidence-based decision-making.
- Strengthen accountability and transparency in fiscal management.
- Improve service delivery through timely corrective actions.
- Enhance coordination and learning across departments.
- Position Machakos County as a model for data-driven revenue administration.

#### 8.12 Risk Management and Sustainability

The implementation of this strategy faces various risks, both internal and external. These have been identified and categorized as follows:

| Risk Category  | Description                                        | Mitigation Measure                                                               |
|----------------|----------------------------------------------------|----------------------------------------------------------------------------------|
| Political      | Policy shifts, interference, or leadership changes | Strengthen legal frameworks and institutional autonomy                           |
| Financial      | Inadequate funding or delays in budget releases    | Diversify funding sources; phased budgeting                                      |
| Technological  | System failures, cyber risks                       | Regular audits, backups, and ICT security policies                               |
| Legal          | Litigation or disputes on levies                   | Continuous legal review and stakeholder consultations                            |
| Human Resource | Low morale or staff turnover                       | Continuous training and incentive schemes, introduce reward management programs. |
| Social         | Public resistance or non-compliance                | Public sensitization and inclusive participation                                 |
| Environmental  | Unsustainable resource exploitation                | Enforcement of environmental safeguards                                          |



### 8.13 Sustainability Strategy

To ensure that gains are sustained beyond 2030, the following sustainability measures will be pursued:

1. Institutionalization of reforms through legal frameworks.
2. Continuous capacity development for revenue staff.
3. Integration of digital revenue systems with other county platforms.
4. Regular review of valuation rolls and revenue policies.
5. Partnerships with national and international agencies for technical support.
6. Promoting a culture of compliance through civic education and incentives.



## **CHAPTER NINE**

### **REVIEW OF THE REVENUE MOBILIZATION STRATEGY**

#### **9.1 Introduction**

The Review of the Revenue Mobilization Strategy is a critical component of effective fiscal governance. It ensures that the County Government of Machakos continuously adapts its policies, systems, and practices to the changing socio-economic environment, legal frameworks, and development priorities. Regular review allows the County to identify gaps, measure progress, and realign revenue objectives with emerging opportunities and challenges. This chapter outlines the approach, frequency, scope, and mechanisms through which the strategy will be evaluated and updated to guarantee its relevance, sustainability, and alignment with county and national development goals.

#### **9.2 Purpose of the Review**

The review aims to:

- Evaluate the effectiveness of the strategies, programs, and reforms implemented.
- Measure progress towards the achievement of revenue mobilization objectives and targets.
- Identify emerging fiscal, economic, and administrative challenges affecting revenue performance.
- Recommend policy, legal, or institutional adjustments to enhance efficiency and compliance.
- Strengthen accountability, transparency, and citizen participation in the revenue management process.

The review process ensures that the strategy remains responsive to evolving economic realities, technological advancements, and policy directions at both county and national levels.

#### **9.3 Review Framework and Approach**

The review of the Revenue Mobilization Strategy will be anchored on principles of evidence-based decision-making, inclusivity, transparency, and accountability. It will adopt a participatory approach involving multiple stakeholders such as:

- County Treasury and Department of Revenue Management;
- Revenue facing departments
- County Assembly Committees;
- Office of the Auditor General;
- Development partners;
- Private sector and business associations;
- Civil society and community representatives.



The review process will integrate both quantitative and qualitative assessments, focusing on revenue performance indicators, institutional capacity, legal compliance, and citizen satisfaction.

**a) Mid-Term Review (Based on Mid Term Evaluation Report)**

A mid-term review will be conducted midway through the implementation period to evaluate progress, assess challenges, and adjust strategies as necessary. It will focus on:

- Achievement of short-term targets;
- Functionality of automated systems;
- Efficiency of enforcement and compliance mechanisms;
- Institutional capacity and staff performance;
- Level of stakeholder engagement and public participation.

**b) End-Term Review (Based on End Term Evaluation Report)**

A comprehensive end-term evaluation will be conducted at the conclusion of the strategy period. This evaluation will assess the overall impact of the strategy on revenue performance, fiscal discipline, and socio-economic development. It will also inform the formulation of the next Revenue Mobilization Strategy, ensuring continuous improvement.

**c) Periodic Reviews when need arises**

Periodic review of the Revenue Mobilization Strategy is essential for ensuring fiscal sustainability and institutional accountability to factor in emerging issues in own source revenue mobilization. By establishing a structured review mechanism, Machakos County will strengthen its ability to monitor progress, adapt to changes, and remain focused on expanding fiscal space and improved service delivery. The periodic reviews will not only enhance performance but also build public trust through transparency, participation, and responsiveness in revenue management.

**9.4 Key Performance Indicators (KPIs)**

To guide the review and evaluation process, specific indicators will be used to measure progress and effectiveness. These include:

- **Annual Revenue Growth Rate:** Percentage increase in annual Own Source Revenue (OSR).
- **Collection Efficiency:** Ratio of actual to projected revenue.
- **Compliance Rate:** Level of taxpayer registration and payment compliance.
- **System Automation Coverage:** Proportion of revenue streams integrated into digital platforms.
- **Audit Compliance:** Timeliness and accuracy of financial reports and reconciliations.
- **Stakeholder Satisfaction:** Citizen and business community perception of fairness and efficiency.
- **Capacity Development:** Number of staff trained and equipped to manage revenue functions.

These indicators will form the basis for periodic monitoring reports and independent audits to evaluate performance objectively.



### 9.5 Data Collection and Reporting Mechanisms

Effective review requires accurate, reliable, and timely data. The County will establish a Revenue Management Secretariat within the Department of Revenue Management to collect, store, and analyze revenue data from all wards and sub counties and revenue streams. Regular progress reports will be compiled as follows:

- **Quarterly Reports** – Operational updates and financial summaries.
- **Annual Reports** – Comprehensive performance analysis and recommendations.
- **Mid-Term and End-Term Reports** – Independent evaluation of outcomes and impacts.

All reports will be shared with the County Executive, County Assembly, and relevant oversight institutions, and summarized versions will be published for public access in line with transparency requirements under the Public Finance Management Act (2012).

### 9.6 Review Outputs and Utilization

The findings of the strategy review will be used to:

- Adjust revenue targets and performance benchmarks.
- Revise or draft new by-laws, regulations, or administrative procedures.
- Improve resource allocation and budget prioritization.
- Enhance coordination among revenue-collecting departments.
- Strengthen risk management and internal control systems.

The review outcomes will therefore serve as a key input for evidence-based decision-making and continuous institutional learning.

### 9.7 Linkage to County Planning and Budgeting Cycles

The review process will be synchronized with the county's planning and budgeting frameworks, particularly the County Integrated Development Plan (CIDP), Annual Development Plans (ADPs), and County Fiscal Strategy Paper (CFSP). This ensures that recommendations from the review directly inform fiscal policy decisions, revenue projections, and investment priorities. By integrating review findings into these statutory planning instruments, the County ensures that revenue mobilization remains dynamic, realistic, and responsive to economic conditions.

### 9.8 Continuous Improvement and Learning

The County Government of Machakos will adopt a continuous learning approach to improve the design and execution of revenue systems. Lessons drawn from each review cycle will inform the next generation of reforms. Capacity-building initiatives, peer learning with other counties, and benchmarking with best practices in Kenya and beyond will be emphasized to sustain innovation and efficiency.



## **CHAPTER TEN**

### **10. Conclusion and Policy Recommendations**

#### **10.1 Conclusion**

The Machakos County Revenue Mobilization Strategy (2025–2030) presents a comprehensive framework to enhance fiscal sustainability, efficiency, and accountability in the management of Own Source Revenue (OSR). It recognizes that strong revenue systems are essential to the successful realization of devolution, enabling the County to deliver quality services, build infrastructure, and promote inclusive economic development.

The strategy has been developed in alignment with the Public Finance Management Act (2012), the County Governments Act (2012), and other relevant national frameworks. It operationalizes the revenue mobilization agenda through six strategic pillars—digital transformation, property valuation, revenue diversification, public engagement, enforcement and legal reforms, and institutional capacity development. Together, these pillars form an integrated roadmap for strengthening the revenue ecosystem across all levels of county administration.

By addressing systemic inefficiencies, modernizing systems, and fostering transparency, the County seeks to transition from a reactive to a proactive revenue management culture. The strategy underscores the principle that fiscal empowerment is not only about raising revenue but also about building trust, ensuring equity, and delivering value to citizens.

The effective implementation of this strategy will require political commitment, institutional coordination, stakeholder participation, and continuous performance monitoring. The inclusion of a strong Monitoring, Evaluation, Learning, and Reporting (MELR) framework ensures that progress is measurable and that lessons are systematically used to inform policy and operational decisions.

Over the five-year period (2025–2030), the successful execution of this strategy is expected to lead to:

- Increased and more predictable Own Source Revenue collections;
- Enhanced compliance and reduced revenue leakages;
- Improved public confidence in county fiscal management;
- Strengthened inter-departmental coordination and staff capacity;
- Greater alignment between revenue generation and service delivery outcomes.

In summary, this strategy lays the foundation for a modern, transparent, and resilient revenue system that will enable Machakos County to realize its development aspirations while contributing meaningfully to Kenya's broader vision of equitable and sustainable growth under the devolved system of governance.

#### **10.2 Policy Recommendations**

To ensure the effective implementation of the Revenue Mobilization Strategy, the following policy recommendations are proposed:

**a. Strengthen the Legal and Regulatory Framework**

- Review, harmonize, and update all county revenue-related laws and by-laws to eliminate inconsistencies and enhance enforceability.
- Develop clear enforcement mechanisms, including penalties and appeals processes, to ensure compliance with revenue obligations.

**b. Institutionalize Revenue Automation and Digitalization**

- Fully operationalize an Integrated County Revenue Management System (ICRMS) to automate all revenue streams.
- Integrate digital systems with the County Treasury, banking institutions, and national systems such as eCitizen to enhance efficiency and transparency.
- Strengthen cybersecurity and data protection mechanisms to safeguard taxpayer information.

**c. Enhance Human Resource Capacity**

- Invest in continuous training for revenue officers on customer service, taxation principles, and emerging technologies.
- Establish performance-based management systems linked to revenue collection targets and compliance indicators.
- Introduce incentive schemes to reward exceptional performance and compliance innovation.

**d. Improve Intergovernmental and Stakeholder Collaboration**

- Strengthen collaboration with the National Treasury, Kenya Revenue Authority (KRA), CRA, neighboring counties, Sustainable Development Goals Kenya Forums and any other relevant stakeholders to share data, best practices, and innovations.
- Engage the private sector, business associations, and civil society in the co-creation of revenue policies and compliance campaigns.
- Develop structured public participation frameworks to ensure that revenue decisions reflect community priorities.

**e. Expand and Diversify Revenue Sources**

- Explore non-traditional sources such as advertising fees, tourism levies, solid waste management charges, and land-based financing instruments.
- Encourage Public-Private Partnerships (PPPs) for infrastructure and commercial investments that generate sustainable revenues.
- Undertake periodic feasibility studies to identify new opportunities for revenue generation in emerging economic sectors.



**f. Strengthen Monitoring, Evaluation, and Learning Systems**

- Institutionalize the MELR framework within the County Treasury and make reporting mandatory for all revenue facing departments.
- Develop an annual Revenue Mobilization Performance Report shared with the County Assembly and the public.
- Promote peer learning with other counties to share innovations and lessons on effective revenue administration.

**g. Promote Fiscal Transparency and Citizen Trust**

- Regularly publish revenue collection data, budgets, and expenditure summaries on public platforms.
- Establish citizen feedback mechanisms to report grievances, provide suggestions, and enhance compliance.
- Foster a culture of fiscal openness through annual Revenue Open Days and media briefings.

**h. Ensure Political and Executive Commitment**

- Secure sustained political support from the County Executive and Assembly for implementing policy and legal reforms.
- Integrate the Revenue Mobilization Strategy into the County Integrated Development Plan (CIDP), Annual Development Plans (ADPs), and County Fiscal Strategy Papers (CFSPs) for institutional continuity.
- Provide adequate funding in the annual budgets to support priority actions under the strategy.

**10.3 The Way Forward**

The next phase after the adoption of this strategy will involve operationalization through an Implementation Plan detailing activities, timelines, budgets, and responsibilities. This plan will be developed collaboratively by the Department of Revenue Management in consultation with all revenue-facing departments.

The County will also engage with development partners and the private sector to mobilize technical and financial support for strategic initiatives such as automation, capacity building, and property valuation.

Ultimately, the successful realization of this strategy depends on the collective commitment of leadership, staff, and citizens. By prioritizing efficiency, accountability, and innovation, Machakos County will strengthen its fiscal independence and deliver improved services to its residents.

